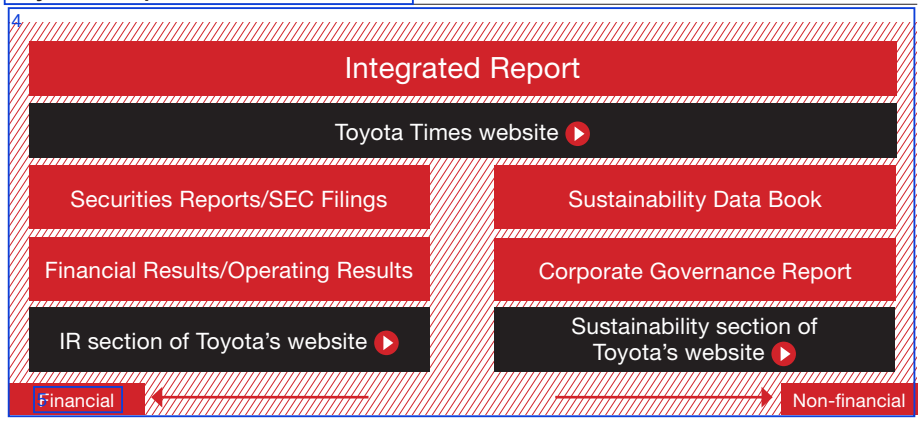
The *Integrated Report 2021* is intended to communicate to stakeholders Toyota's policies and strategies for addressing management issues to achieve its vision for the future. More detailed information is available from the Toyota Times website as well as Toyota's other reports and websites.

(Published January 2022)

Toyota's Reports and Publications



Period Covered

Fiscal 2021 (April 2020 to March 2021). Some initiatives in fiscal 2022 (April to December 2021) are also included.

Scope of Report

Initiatives and activities of Toyota Motor Corporation and its consolidated subsidiaries, etc., in Japan and overseas

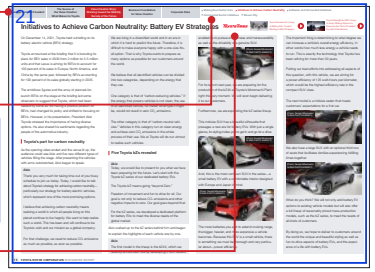
Reference Guidelines

This report was prepared with reference to the International Integrated Reporting Framework issued by the Value Reporting Foundation (VRF).

About the PDF

This file is an interactive PDF and can be navigated by clicking on the following elements.

Main menu	Jump to the beginning of each of the report's main sections
Sub-menu	Jump to specific parts within each section
Icons	Each section contains icons that link to related pages of the report, as well as and ToyotaTimes icons that link to relevant web pages online. Requires an internet connection.


Initiatives to Achieve Carbon Neutrality: Battery EV Strategies

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8 Value Creation Story: Working toward the Mobility Society of the Future

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The Toyoda Principles and Toyota Philosophy

Toyota Times



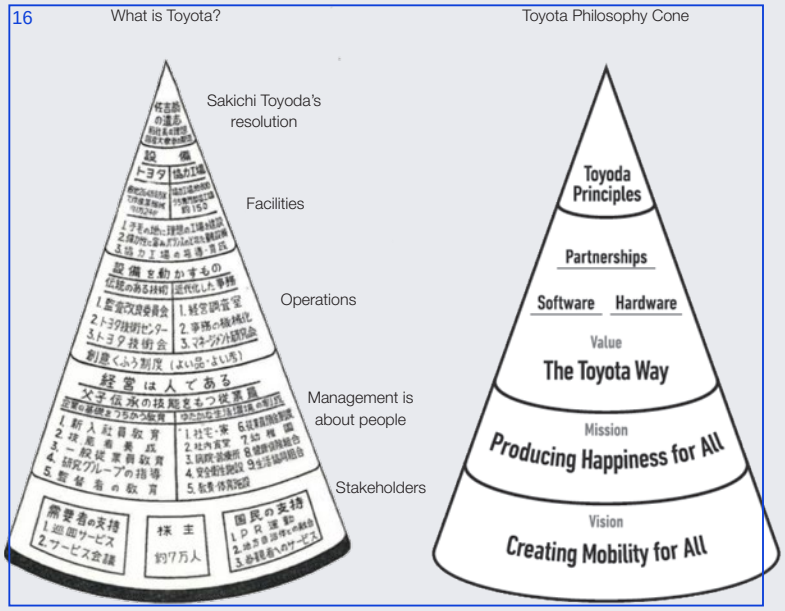
With an eye toward "Producing Happiness for All" - Selections from the Q&A session of Toyota's 1H/2Q financial results briefing

In 1935, five years after the passing of Sakichi Toyoda, the Company had grown to more than 10,000 employees as the automotive business ramped up. The Toyoda Principles were compiled at this time to convey Sakichi's teachings to all employees and provide guidelines for all aspects of their work.

The top management of Toyota that took over from Kiichiro, Sakichi's son, further codified the Toyota Philosophy, encompassing Toyota's values, priorities, and strengths. This philosophy provided the answer to the fundamental question, "What is Toyota?" as a touchstone for the entire Group.

The automotive industry is experiencing a once-in-a-century transformation. In the same way that Toyota transitioned from loom maker to automaker, we are now reinventing ourselves as a mobility company.

To guide us as we push forward into the future amid an era of uncertainty, we have now created the Toyota Philosophy Cone, a graphic representation of the Toyota Philosophy presented in a shape that evokes both the spools of thread used in looms and the traffic cones used to guide cars.



DNA

Toyota's basic principles

Toyoda Principles

The Toyoda Principles, or Five Main Principles of Toyoda, have since been handed down to every Toyota Group company and serve as guidelines for all employees.

Modern Interpretation

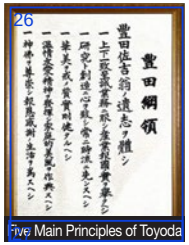
We unite as one team regardless of rank in order to contribute to our people, society, and communities.

We develop and learn from outstanding ideas and cutting-edge technologies across the world. We enhance our capabilities utilizing our own wisdom and create new value to continue to lead the change.

We focus on work that is value-adding, with integrity and practicality, by avoiding superficial matters.

We build a sense of community and promote the personal growth of our people while valuing mutual trust and equal partnership with our stakeholders.

We show humility for the support of our business by our valued stakeholders and society while also respecting the diversity of the world.



Five Main Principles of Toyoda

MISSION

Toyota's mission since its foundation

Producing Happiness for All

Born into a family of poor farmers, Sakichi Toyoda built the bedrock of today's Toyota by inventing the Toyoda Automatic Loom by himself. Abandoning the easy path left by his father, Kiichiro Toyoda took on the challenge of making cars. Many at the time said it was impossible.

Their passion was carried on by those who worked with them, shaping the Toyota we know today. What they truly wanted to make was a sense of happiness for any customer who used their products, as well as happiness for every person involved in the work related to those products. The core of this aspiration was the idea of producing happiness for all.

However, during Toyota's long history, there was a brief time when we turned our focus to numbers and gave less thought to people. Primarily due to our rapid expansion in the late 20th century, we faced many problems, including quality concerns and trade friction.

Let us not forget that there are some things that machines cannot create. Only humans can invest the time and energy to bring life to such things. We strive to stay ahead of the times, endeavoring to be studious and creative for the betterment of lives and society. Using our technology, we work toward a future of convenience and happiness available to all. This is our mission, producing happiness for all, and the core of what makes us Toyota



Sakichi Toyoda



Kiichiro Toyoda

VISION

The future vision that Toyota aspires to

Creating Mobility for All

Toyota strives to raise the quality and availability of mobility, so that individuals, businesses, municipalities, and communities can do more, while achieving a sustainable relationship with our planet. This is our new destination.

Motorization has enabled freedom of movement and has brought people and society closer. As a result, more people than ever can now experience mobility, including the "fun to drive" experience.

And yet, challenges related to mobility persist. There are still many potential opportunities to overcome inconveniences and break through the impossible with new possibilities.

"To move" can refer to physical motion, but also to the experience of being emotionally moved. It is our role to move people and bring mobility to life—to move hearts, minds, and bodies. To move society.

VALUE

Value that Toyota can promise to stakeholders

Toyota Way

As we work to realize mobility for all, the road will be rough at times.

In addition to our commitment to *monozukuri* (manufacturing), we must foster imagination regarding the possibilities of people and society. These tangible and intangible aspects together power Toyota: imagination fuels *monozukuri,* and *monozukuri* sparks new imagination. In advancing this cycle, it is essential to center the perspectives of our many stakeholders, imagining their points of view.

We work with our stakeholders and partners, each elevating the other, uniting the strengths of all three to create new and unique value. This is the new Toyota Way.

process, and we clarify how that item may affect the battery. Based on this analysis, we are extremely attentive to the size and shape of foreign matter, and we are managing processes in a way that is aimed at preventing the generation or entry of relevant foreign matter.

Halving Battery Costs through the Integrated Development of Vehicles and Batteries

To popularize BEVs, we strive to reduce costs via the integrated development of vehicles and batteries to provide BEVs at a reasonable price.

To start with, we aim to reduce the costs of batteries themselves by 30% or more by developing materials and structures. Then, for the vehicle, we aim to improve power consumption, which is an indicator of the amount of electricity used per unit of distance, by 30%, starting with the Toyota bZ4X. Improved power efficiency leads to reduced requirements for battery capacity, which will result in a cost reduction.

Through this integrated development of vehicles and batteries, we aim to reduce the battery cost per vehicle by 50% compared to the Toyota bZ4X in the second half of the 2020s.

Using Solid-State Batteries Starting with HEVs

In the near future, the energy density of conventional lithium-ion batteries per unit of weight is expected to see its peak. Accordingly, vigorous efforts are now under way to develop next-generation lithium-ion batteries, aiming to achieve longer service life, greater energy density, more compact size, and lower costs. At Toyota, we push ahead with the development of such batteries by employing the following three approaches.

For liquid batteries, which use liquid electrolyte, we are taking on the challenge of realizing "material evolution" and "structural innovation." At the same time, we are aiming to commercialize all-solid-state batteries that employ solid electrolyte instead of liquid electrolyte. As such, our wide-ranging development efforts are aimed at creating three types of batteries, and by the second half of the 2020s, we hope to improve the characteristics of each type so that we can provide batteries that can be used with peace of mind.

With regard to all-solid-state batteries, we promote development aimed at achieving higher output, longer cruising range, and shorter charging times. In June 2020, we built a vehicle equipped with all-solid-state batteries and conducted test runs on a test course to obtain driving data. Based on that data, we continued to make improvements, and in August 2020, we obtained license plate registration for vehicles equipped with all-solid-state batteries and conducted test drives.

In the course of the development process, we discovered that the fast movement of ions within all-solid-state batteries could possibly enable them to achieve higher output. On the other hand, it was revealed that these batteries tend to deteriorate faster due to the formation of gaps within the solid electrolyte, posing an issue of shorter service life. Therefore, we need to continue development, mainly of solid electrolyte materials.

We will start the introduction of all-solid-state batteries with those for HEVs as these vehicles require high output. We have also accumulated a wealth of know-how regarding HEVs. We will release these batteries to the market as soon as possible in order to gain customer feedback and continue to improve them.

Flexible Battery Supply

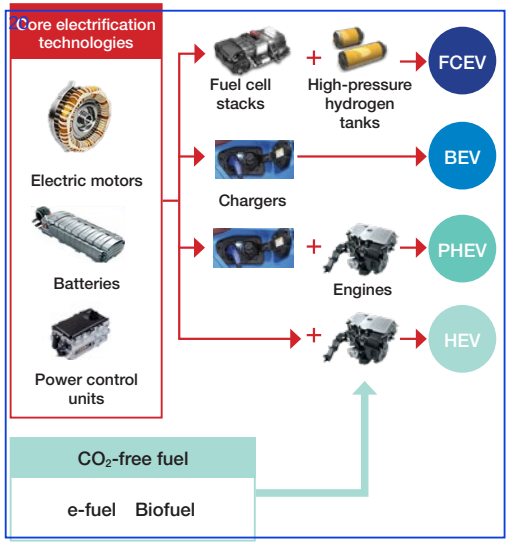
With the rapid expansion of EV usage, we are working to build a flexible system that can stably supply the required volume of batteries at the required time while meeting the needs of various customers in each region around the world.

To this end, we will establish needed technologies by conducting a certain amount of in-house production in the pursuit of our battery development concept of achieving batteries that can be used with peace of mind. We will then cooperate and collaborate with partners who understand and will put into practice our concept. We will also proceed with discussions with new partners in some regions.

Our approach to production within the Group can be described as "starting up using small basic units." This approach draws on lessons learned from the global financial crisis. It is difficult to notice latent risks when production is growing. Because of this, we have to take a risk-controlled approach to growth based on Toyota's philosophy of "making only what is needed, when it is needed, and only in the amount needed."

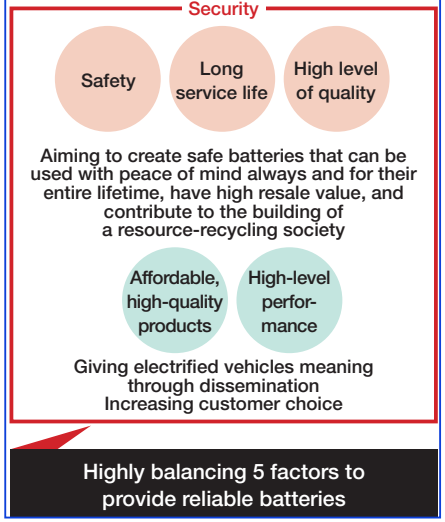
For example, the production of all-solid-state batteries will start with batteries for HEVs, which

Technologies Supporting Full Lineup of Electrified Vehicles



Toyota Concept for Battery Development

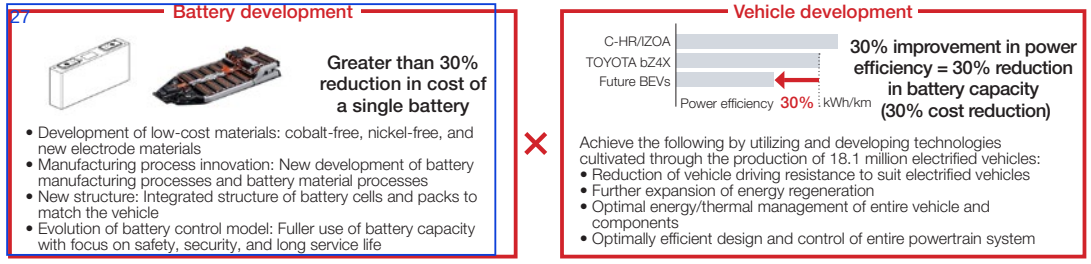
Universally applied to HEV, PHEV, BEV and FCEV batteries



Next-generation BEVs



Battery Cost Targets: Integrated Vehicle-battery Development



Corporate Governance

Fundamental Approach

Toyota regards sustainable growth and the stable, long-term enhancement of corporate value as essential management priorities. Building good relationships with all stakeholders, including shareholders, customers, business partners, local communities, and employees, and consistently providing products that satisfy customers' needs are key to addressing these priorities. To this end, Toyota constantly seeks to enhance corporate governance.

Corporate Governance Report
Securities Report

Business Execution and Supervision

Toyota's Corporate Governance

Contributing to society through *monozukuri* (manufacturing) is the basis of Toyota's corporate value. To enhance its corporate value in the medium- to long-term, it is appropriate for Toyota to be a company with an Audit & Supervisory Board, where internal executives who have been long engaged in and have deep knowledge of manufacturing and outside executives who are capable of providing advice for the creation of new value from a broad perspective can participate in well-balanced decision making at the Board of Directors' meetings.

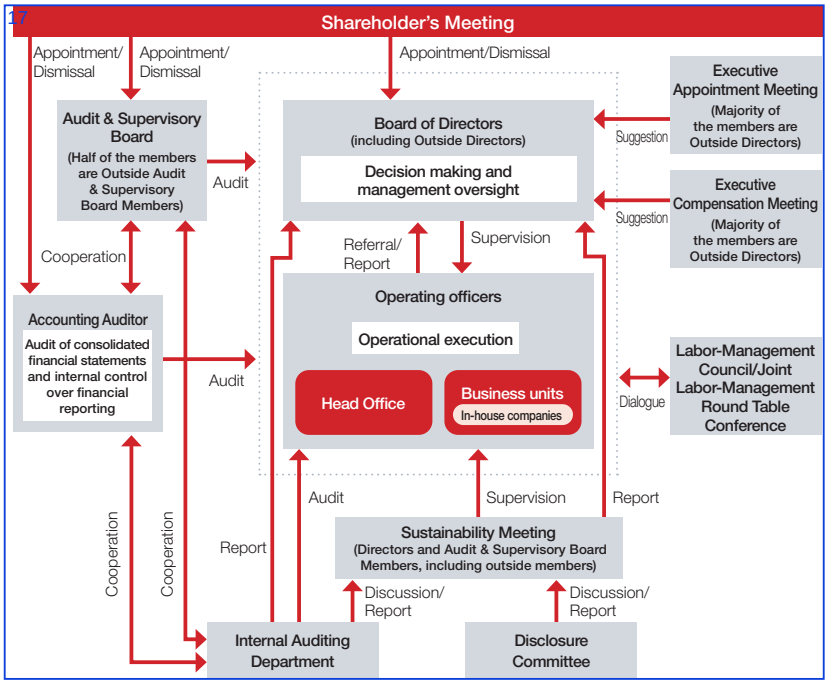
With respect to its framework for executing operations, Toyota has been continuing its efforts to respond swiftly to the external environment, which is changing faster than ever. Following the introduction of "region-based management" in 2011, the "business unit system" in 2013, and the "in-house company system" in 2016, in 2017, Toyota further clarified that Members of the Board of Directors are responsible for decision making and management oversight and that operating officers are responsible for operational execution for the purposes of further accelerating implementation of decisions.

Furthermore, in 2018, Toyota brought forward the timing of executive changes from April to January, in order to further accelerate management oversight and ensure full coordination with the workplace. In addition, Toyota transformed the company structure into one that enables decision making that is both close to the needs of customers and close to where the action takes place, by taking measures such as reviewing the corporate strategy function and restructuring the Japan Sales Business Group into an organization based on regions rather than sales channels.

In 2019, to further advance its "acceleration of management" and the development of a diverse and talented workforce, Toyota made executive and organizational changes as follows: 1. Executives are composed of only senior managing officers and people of higher rank. 2. A new classification called "senior professional/senior management" (*kanbushoku* in Japanese) grouped and replaced the following titles or ranks: managing officers, executive general managers, (sub-executive managerial level) senior grade 1 and senior grade 2 managers, and grand masters. With an eye to appointing the right people to the right positions, senior professionals/senior management hold a wide range of posts, from chief officer, deputy chief officer, plant general manager, and senior general manager to group manager, regardless of age or length of employment, in order to deal with management issues as they arise and to thereby strengthen their development as members of a diverse and talented workforce through *genchi genbutsu* (on-site learning and problem-solving).

In April 2020, Toyota consolidated the post of executive vice president and the post of operating officer into the post of operating officer and, in July 2020, clarified the responsibilities of operating officers. We redefined the role of operating officer to be members who, together with the president, have cross-functional oversight of the entire company. Furthermore, in-house company presidents, regional CEOs and chief officers, as on-site leaders of business implementation elements, were given authority while being consolidated into the rank of senior professionals/senior management. The roles of operating officers and senior professionals/senior management are to be determined where and as needed, and persons appointed as operating officers and senior professionals/senior management are to change in accordance with the challenges faced and the path that should be taken, as the company exercises greater flexibility than ever in appointing the right people to the right positions. Toyota, based on its basic policy of appointing the right people to the right positions, has been swiftly and continuously innovating. We will further press forward with the tide of such innovations, aiming for a corporate structure capable of carrying out management from a viewpoint that is optimal for a global company.

Toyota's Corporate Governance



Changes in Governance Structure

Current

	—2010	2011—2015	2016—2021
Number of Directors (total)	27	2011-2016: between 11 and 16 (temporarily increased due to the introduction of Outside Directors)	2017: 9
Outside Directors		2013: 3	
Executives: Executive Vice Presidents		2011-2020: between 4 and 7	
Executives: Senior Managing/ Managing Officers	64	2011-2018: between 42 and 49	
Executives: Operating Officers			June 2021: 11
Executives: Advisors/Senior Advisors		2011-2017: between 55 and 68	2018: 9 due to organizational changes, July 2020: 0
Organization: Region		2013: Restructuring of groups	
Organization: Company			2016: Introduction (from function-based to product-based)
Audit & Supervisory Board Members (total)	7	2014: 6	
Outside Audit & Supervisory Board Members	4	2014: 3	
Meetings: Executive Appointment			2017: Outside Members accounting for half / 2019: Outside Members accounting for a majority
Meetings: Compensation			
Sustainability	2007-2014: CSR Committee	2014: Corporate Governance Meeting	2018: Sustainability Meeting

April 2011	• Reduced the number of Members of the Board of Directors from 27 to 11 members (currently 9 members) • Reduced decision making layers (discontinuing the positions of executives responsible for the operations involved and introduced the two-tiered arrangement of Executive Vice President and Chief Officer) • Made flexible assignment of Senior Managing Officer or Managing Officer to Chief Officer post (abolition of Senior Managing Director) • Established the role of Executive General Manager • Stationing of, in principle, regional chief officers in their respective regions
April 2013	• Established business units • Reorganized regional groups • Appointed Outside Board Members
April 2015	• Changed the roles of officers • Enhancement of diversity (appointing non-Japanese executives and female executives)
April 2016	• Established in-house companies, shift from functional to product-based focus
April 2017	• Further clarification of the responsibilities of Members of the Board of Directors as decision making and management oversight and of Operating Officers as operational execution • Reduced the number of Members of the Board of Directors (including Outside Directors) to 9 (June)
October 2017	• Changed the system of advisors and senior advisor system
January 2018	• Increased appointment of people with high expertise from both within and outside of the Company (the Toyota Group, people with technical positions, backgrounds, etc.) • Executive Vice President, in addition to supporting the President, personally leads the field as an in-house company president and organizational group chief officers • Newly established a fellow system to secure people with high level of specialist expertise and expand the breadth of executive human resource development
January 2019	•Created a new classification: "senior professional/senior management," integration of Managing Officer, Executive General Manager, (sub-executive managerial level) Senior Grade 1 and Senior Grade 2 Manager, and Grand Master
January 2020	• Discontinued use of Field General Manager rank, shifting to Senior General Manager and Fellow
April 2020	• Integrated the roles of Executive Vice President and Operating Officer into Operating Officer
July 2020	• Further clarified the roles of Operating Officers

Toyota's executive compensation system is an important means to promote various initiatives and is determined based on the following policy.

- It should be a system that encourages Members of the Board of Directors to work to improve the medium- to long-term corporate value of Toyota
- It should be a system that can maintain compensation levels that will allow Toyota to secure and retain talented personnel
- It should be a system that motivates Members of the Board of Directors to promote management from the same viewpoint as our shareholders with a stronger sense of responsibility as corporate managers

The Board of Directors decides by resolution the policy for determining remuneration for and other payments to each member of the Board of Directors. Remuneration is effectively linked to corporate performance while reflecting individual job responsibilities and performance. Remuneration standards in each member's home country are also taken into account when determining remuneration amounts and methods. Remuneration for Outside Members of the Board of Directors and Audit & Supervisory Board Members consists only of fixed payments. As a result, this remuneration is not readily impacted by business performance, helping to ensure independence from management.

The amounts of remuneration and other payments to each member of the Board of Directors and the remuneration system are decided by the Board of Directors and the "Executive Compensation Meeting," a majority of the members of which are Outside Members of the Board of Directors, to ensure the independence of the decisions.

The Board of Directors resolves the policy for determining remuneration for and other payments to each member of the Board of Directors and the executive remuneration system as well as the total amount of remuneration for a given fiscal year. The Board of Directors also resolves to delegate the determination of the amount of remuneration for each Member of the Board of Directors to the Executive Compensation Meeting. The Executive Compensation Meeting reviews the executive remuneration system on which it will consult with the Board of Directors and determines the amount of remuneration for each Member of the Board of Directors, taking into account factors such as corporate performance as well as individual job responsibilities and performance, in accordance with the policy for determining remuneration for and other payments to each member of the Board of Directors established by the Board of Directors. The Board of Directors considers that such decisions made by the Executive Compensation Meeting are in line with the policy on determining remuneration and other payments for each member of the Board of Directors.

Remuneration for Audit & Supervisory Board Members is determined by the Audit & Supervisory Board within the scope determined by resolution of the shareholders' meeting. To decide the compensation for the fiscal year under review, the Executive Compensation Meeting was held in May 2020, March 2021, and April 2021. Also, preparatory meetings attended solely by Outside Directors were held five times in August, September, and October 2020 and February and March 2021 to hold discussions in preparation for the Executive Compensation Meeting. The compensation for the Members of the Board of Directors was decided with the agreement of all members of the Executive Compensation Meeting.

Major Matters Discussed at the Executive Compensation Meeting

- Compensation levels according to position and responsibilities
- Benchmarks and actual results evaluation for FY2021
- Individual performance evaluation
- The remuneration for each individual

Method of Determining Performance-based Remuneration (bonuses, share-based compensation)

1. Directors with Japanese citizenship (excluding Outside Directors)

Toyota sets the total amount of remuneration (Annual Total Remuneration) received by each director in a year based on consolidated operating income, the volatility of the share price of Toyota and individual performance evaluation. The balance after deducting monthly remuneration, which is fixed remuneration, from Annual Total Remuneration constitutes performance-linked remuneration.

Toyota sets an appropriate executive compensation level for the Annual Total Remuneration based on position and duties by referencing a benchmark group of companies located in Japan.

Table 1 Table 2

Method of Setting the Annual Total Remuneration

Annual Total Remuneration is set according to a formula based on the benchmark results of executive compensation. Annual Total Remuneration for each position is set based on consolidated operating income and the volatility of the share price of Toyota, and then adjusted based on individual performance evaluation. Individual performance evaluation is conducted in view of the efforts made according to the concept of the "Toyoda Precepts," which set forth our founding philosophy, and other aspects such as the trust of others and promotion of employee development, based on which the amount of Annual Total Remuneration for each director is determined within the range of 25% above or below the Annual Total Remuneration for each position.

2. Directors with foreign citizenship (excluding Outside Directors)

Fixed remuneration and performance-based remuneration are set based on remuneration levels and structures that allow Toyota to secure and retain talented personnel. Fixed remuneration is set, taking into account each member's job responsibilities and the remuneration standard of his/her home country. Performance-based remuneration is set based on consolidated operating income, the volatility of the share price of Toyota, and individual performance, taking into account each member's job responsibilities and the remuneration standard of his/her home country. The concept of each item is the same as for directors with Japanese citizenship (excluding Outside Directors). Differences in tax rates in Japan and their home countries may be considered and compensated for.

Share-based Compensation System

The Board of Directors decides the share-based compensation, using the maximum share-based compensation (4.0 billion yen per year) set in the 115th Ordinary General Shareholders' Meeting held on June 13, 2019. For more details, please refer to p. 90 of the Securities Report (for fiscal year ended March 2021).

Table 3 Table 4

Table 1 **Explanation of Indicators**

Consolidated operating income	Indicator for evaluating Toyota's efforts based on business performance
Volatility of Toyota's share price	Corporate value indicator for shareholders and investors to evaluate Toyota's efforts
Individual performance evaluation	Qualitative evaluation of each director's performance

Table 2 **Evaluation Method and Reference Value for Indicators, and Evaluation Result for the Current Fiscal Year**

	Evaluation weight	Evaluation method	Reference value	Evaluation result for the current fiscal year
Consolidated operating income	50%	Evaluate the degree of attainment of consolidated operating income in the current fiscal year, using required income (set in 2011) for Toyota's sustainable growth as a reference value	1 trillion yen	150%
Volatility of Toyota's share price	50%	Comparatively evaluate the volatility of Toyota's share price up to the end of the current fiscal year, using the share price of Toyota and the Nikkei stock average at the end of the previous fiscal year as reference values	Toyota's share price: 6,501 yen Nikkei average: 18,917 yen	

Table 3 **Remuneration by Executive Category, Remuneration by Type, and Number of Applicable Executives**

Category	No. of applicable executives	Amount of remuneration [million yen]				Total remuneration by type (million yen)
		Fixed remuneration	Performance-linked remuneration		Other	
		Monthly remuneration	Bonuses	Share-based compensation		
Directors (of which Outside Directors)	10 (3)	735 (159)	748	364* (36,000 shares)	747	2,595 (159)
Audit & Supervisory Board Members (of which Outside Audit & Supervisory Board Members)	6 (3)	251 (54)	—	—	—	251 (54)

(Notes) 1. Cash compensation consists of monthly remuneration and bonuses.

2. Performance-based remuneration is set based on the resolution of the Board of Directors' Meeting on May 12, 2021. Share-based compensation is the number of shares presented in the table multiplied by the closing price on the day prior to the date of resolution for the allocation.
* Share-based compensation presented above is the amount calculated using the closing price on the day prior to the date of the resolution to allocate the number of shares resolved.

3. The figure for "Other" is the amount of compensation for taxes on remuneration paid to Didier Leroy, former Director who resigned on June 11, 2020, during his term of service as Director.

Table 4 **Names and Details of those who Receive, in Aggregate, Consolidated Remuneration of One Hundred Million Japanese Yen or More**

Name (executive category)	Company category	Total consolidated remuneration by type (million yen)					Total consolidated remuneration (million yen)
		Fixed remuneration	Performance-linked remuneration		Other	Retirement benefits	
		Monthly remuneration	Bonuses	Share-based compensation			
Takeshi Uchiyamada (Director)	Reporting company	110	61	50 (5,000 shares)	—	—	222
Shigeru Hayakawa (Director)	Reporting company	66	41	33 (3,000 shares)	—	—	140
Akio Toyoda (Director)	Reporting company	185	25	231 (23,000 shares)	—	—	442
Koji Kobayashi (Director)	Reporting company	69	12	49 (4,000 shares)	—	—	134
	Consolidated subsidiary Daihatsu Motor Co., Ltd.	3	—	—	—	—	
Didier Leroy (Director)	Reporting company	57	515	—	747	—	1,451
	Consolidated subsidiary Toyota Motor Europe	26	104	—	—	—	
Shigeki Terashi (Director)	Reporting company	63	63	—	—	—	138
	Consolidated subsidiary Hino Motors, Ltd.	12	—	—	—	—	
James Kuffner (Director)	Reporting company	23	28	—	—	—	284
	Consolidated subsidiary Woven Planet Holdings, Inc.	232	—	—	—	—	

(Notes) 1. The figure for "Other" is the amount of compensation for taxes on remuneration paid to Didier Leroy, a former Director who resigned on June 11, 2020, during his term of service as Director.

2. The fixed remuneration paid to Director James Kuffner by Woven Planet Holdings, Inc., a consolidated subsidiary, includes the amounts of fixed remuneration paid every three months and every 12 months.